

**UNITED STATES INTERNATIONAL TRADE COMMISSION
WASHINGTON, D.C.**

**Certain Powered Rocker-Recliner and
Glider-Recliner Mechanisms and Seating
Units**

Investigation No. 337-TA-_____

COMPLAINANTS' INITIAL STATEMENT ON THE PUBLIC INTEREST

Pursuant to 19 C.F.R. § 210.8(b), Complainants Ultra-Mek Incorporated (“Ultra-Mek”), Leggett & Platt Incorporated, and L&P Property Management Company (collectively, “Complainants”) respectfully submit this Statement on the Public Interest with respect to the remedial orders they seek against Jiangsu Carya Smart Home Hardware Co., Ltd., Living Style Group Ltd., True Innovations & Design (USA) LLC; Living Style (Singapore) Pte. Ltd., Living Style (Vietnam) Ltd., Henglin Home Furnishings Co. Ltd., Nanjing Hengning Home Furnishings Co., Ltd., Colamy, Inc., Aurora Maison, Inc., and Aerisnexus Innovations, Inc. (“Respondents”) in their Complaint. The limited exclusion orders and cease and desist orders Complainants seek against Respondents will not adversely affect public health and welfare, competitive conditions in the U.S. economy, the production of like or directly competitive articles in the United States, or U.S. consumers and in fact will actually benefit the public health and welfare by supporting American companies, jobs, and manufacturing from foreign-based copyists.

The articles at issue—powered rocker-recliner and glider-recliner mechanisms and seating units — are not the type of articles the Commission has found to implicate public interest concerns if excluded. *See Certain Baseband Processor Chips & Chipsets*, Inv. No. 337-TA-543,

Comm’n Op. at 136–37 (June 19, 2007); *Spancion, Inc. v. Int’l Trade Comm’n*, 629 F.3d 1331, 1360 (Fed. Cir. 2010). To the contrary, the public interest is served by enforcing Complainants’ intellectual property rights. *See Certain Laser Bar Code Scanners & Scan Engines*, Inv. No. 337-TA-551, Comm’n Op. at 24 (June 14, 2007). The Commission therefore need not delegate public interest fact-finding to the Administrative Law Judge.

I. USE OF THE ACCUSED PRODUCTS IN THE UNITED STATES

The Accused Products are powered glider-recliner mechanisms, powered rocker-recliner mechanisms, and finished powered glider and/or recliner seating units incorporating those mechanisms. The Accused Products are typically used in, or are, furniture used in homes and offices. These are ordinary consumer and commercial goods—not medical devices, pharmaceuticals, vaccines, critical infrastructure, or articles necessary to satisfy any important public health or welfare need.

II. THERE ARE NO PUBLIC HEALTH, SAFETY, OR WELFARE CONCERNS RELATING TO THE REQUESTED REMEDIAL ORDERS

The requested orders will have no adverse impact on public health, safety, or welfare. The Accused Products are not of a type the Commission has found to implicate such concerns. Historically the Commission has found that exclusion orders should be denied only where “an exclusion order would deprive the public of products necessary for some important health or welfare need: energy efficient automobiles, basic scientific research, or hospital equipment.” *Spancion, Inc. v. Int’l Trade Comm’n*, 629 F.3d 1331, 1360 (Fed. Cir. 2010). This investigation does not present such an exception. Because Complainants seek only limited exclusion orders, exclusion would reach only Respondents’ infringing articles, leaving unaffected the mechanisms and finished seating units supplied by third parties as well as Complainants themselves. Far from disserving the public interest, the requested relief advances it: the Complainants are American

companies employing hundreds of Americans to manufacture products in the United States using many materials made in or sourced from the United States, and the requested remedial orders are needed to provide effective relief from the Respondents' ongoing infringement. Here the requested remedial orders and reduction of infringing products will promote the public interest by saving or expanding American jobs as well as supporting American manufacturing.

III. COMPLAINANTS AND THIRD PARTIES MAKE LIKE OR DIRECTLY COMPETITIVE PRODUCTS THAT COULD REPLACE THE VOLUME OF ACCUSED PRODUCTS IF EXCLUDED

The requested orders are narrowly directed to Respondents' Accused Products, and should not have a broad impact on the U.S. market. Moreover, Complainants are easily able to supply any U.S. demand, and there are other third party suppliers as well. Any gap created by the requested orders, which reach only Respondents' infringing articles, could readily be met from these existing alternative sources. Consumers and seating unit manufacturers thus have ample non-infringing alternatives at both the mechanism and seating unit levels, and the Respondents themselves remain free to supply non-infringing products. Further, remedial orders would not have an adverse impact on competitive production in the United States as the Accused Products are made overseas. Exclusion of infringing products does not harm the public interest when substitute products are available and the accused products are manufactured overseas. *See Certain Digital Televisions*, Inv. No. 337- TA-617, Comm'n Op. at 15 (Apr. 23, 2009). That is the case here.

IV. THE REQUESTED ORDERS WILL NOT HARM U.S. CONSUMERS

The requested orders would have little or no adverse impact on U.S. consumers. Abundant non-infringing alternatives exist at both the mechanism and seating unit levels, and the limited exclusion and cease and desist orders reach only Respondents' infringing articles, so consumers will retain a wide selection of mechanisms and seating units. The relief instead

advances the public interest and helps consumers: it protects and rewards Complainants' substantial investment in R&D and innovation, their commitment to employing American workers and producing products in the United States, and supports hundreds of American jobs for American consumers, including many in the manufacturing sector.

V. CONCLUSION

This Investigation presents no special issues of public interest that would prevent the Commission's issuance of the requested limited exclusion orders and cease-and-desist orders. Accordingly, there are no public interest concerns that would require discovery and trial on this issue. Complainants respectfully request that the Commission decline to delegate public interest to the Administrative Law Judge in this Investigation.

Respectfully submitted,

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